Bet 5	11
Bet 6	9
Bet 7	8
Bet 8	6
Total	**100**

Another point worth noting is that we can be off on the probabilities. Anytime we are trying to compute odds for the way the future of a given business is likely to unfold, it is, at best, an approximation. We try to adjust for this by ascribing conservative odds. It might well be that our eight bets all have very favorable odds, but that Bet 6 actually has better odds than Bet 3. Since all odds are based on our circle of competence and our view of how the world works, it is error prone.

In my own portfolios at Pabrai Funds, I adjust for this by simply placing bets at 10 percent of assets for each bet. It is suboptimal, but it takes care of the Bet 6 being superior to Bet 2 problem. Many times the bottom three to four bets outperform the ones I felt the best about. In aggregate, among the 10 positions, the results have been quite satisfactory. Even though it's not as good as having 80 percent of assets in five stocks, it's still heavily concentrated. And 7 to 10 ideas do make up 80 + percent of the portfolio.

Investing is just like gambling. It's all about the odds. Looking out for mispriced betting opportunities and betting heavily when the odds are overwhelmingly in your favor is the ticket to wealth. It's all about letting the Kelly Formula dictate the upper bounds of these large bets. Further, because of multiple favorable betting opportunities available in equity markets, the volatility surrounding the Kelly Formula can be naturally tamed while still running a very concentrated portfolio.